RRSP Government Rules

A detailed reference to CRA regulations

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Companion to the Canadian RRSP Multi-Brokerage Tracker

MapleSheet Co.

Important: This document is a plain-language summary of Registered Retirement Savings Plan (RRSP) rules as administered by the Canada Revenue Agency (CRA) as of October 2026. It is for educational and reference purposes only and is not tax, legal, or financial advice. RRSP rules and dollar limits can change with each federal budget. Always verify current rules on canada.ca or with a licensed advisor before making financial decisions.

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1. WHAT IS AN RRSP — CORE CONCEPTS

The Registered Retirement Savings Plan (RRSP) was introduced by the Government of Canada in 1957 as a tax-deferred account to encourage retirement saving. Unlike a Tax-Free Savings Account (TFSA), contributions to an RRSP are tax-deductible — they reduce your taxable income in the year you claim them. In exchange, withdrawals are taxed as ordinary income when you eventually take the money out, typically in retirement when your tax bracket is often lower.

An RRSP is not a specific investment — it is a tax-sheltered account that can hold many types of investments including cash, GICs, mutual funds, ETFs, individual stocks, and bonds. Investment income and capital gains earned inside the account are not taxed as they occur; tax is deferred until withdrawal.

Key characteristics

- Contributions are deducted from your taxable income in the year claimed (or a later year — see Section 6).
- Investment growth inside the account is not taxed while it stays in the plan.
- Withdrawals are fully taxable as income in the year withdrawn, and withholding tax is deducted at source (Section 9).
- Unlike a TFSA, withdrawn amounts do NOT get added back to your contribution room.
- You can hold multiple RRSPs at multiple financial institutions, but your total contribution room is shared across all of them.
- Contribution room is based on earned income, not age or residency start date, and it carries forward indefinitely if unused.
- An RRSP must be converted to retirement income (typically a RRIF) by the end of the year you turn 71 — see Section 15.

2. ELIGIBILITY

To open and contribute to an RRSP you must meet all of the following:

- Be a resident of Canada for tax purposes (non-residents can hold an existing RRSP but face restrictions — see Section 18).
- Have filed a tax return reporting earned income, which generates RRSP contribution room.
- Be 71 years of age or younger as of December 31 of the contribution year (you cannot contribute to your own RRSP, or hold one as an annuitant, after that — see Section 15).
- Have a valid Social Insurance Number (SIN).

Unlike a TFSA, there is no minimum age to open an RRSP — contribution room is generated by earned income reported on a tax return, so in practice most Canadians start accumulating room as teenagers with part-time employment income.

3. CONTRIBUTION LIMIT — HOW IT'S CALCULATED (18% RULE)

Each year, you generate new RRSP contribution room equal to 18% of your previous year's earned income, up to an annual dollar maximum set by the CRA (Section 5), minus any pension adjustment (PA) for employees who belong to a registered pension plan or deferred profit-sharing plan at work.

"Earned income" for this purpose generally includes employment income, net self-employment income, net rental income, and certain other amounts — it does not include investment income, capital gains, pension income, or RRSP withdrawals themselves.

Your Notice of Assessment (NOA) from the CRA states your exact RRSP Deduction Limit for the current year — this is the number to use, not a manual 18% calculation, since the CRA has already applied any pension adjustments and carried-forward room for you.

4. DEDUCTION LIMIT & UNUSED ROOM CARRIED FORWARD

Unlike a TFSA's withdrawal-based room, RRSP room that goes unused in a given year is simply carried forward indefinitely — there is no expiry. Your "RRSP Deduction Limit" shown on your Notice of Assessment is the running total of every year's new room, plus all unused room carried forward, minus everything you've already contributed and deducted.

This is why the Tracker asks you to enter two numbers from your NOA separately — your current-year Deduction Limit and your Unused Room Carried Forward — and sums them into one Total Available Room figure that every brokerage's contributions are measured against.

5. CONTRIBUTION LIMIT — YEAR-BY-YEAR DOLLAR MAXIMUM

The CRA sets an annual dollar ceiling on the 18%-of-income calculation, indexed to the average wage each year. If 18% of your earned income would exceed this ceiling, the ceiling applies instead.

Year	Dollar Limit (18% ceiling)
2022	$29,210
2023	$30,780
2024	$31,560
2025	$32,490
2026	$33,810

This ceiling rarely binds for most savers — it only matters if 18% of your earned income is higher than the dollar limit, which generally requires earned income above roughly $185,000 the prior year. Most contributors are limited by their actual income, not this ceiling.

6. THE FIRST-60-DAYS RULE

A contribution made in the first 60 days of a calendar year (roughly January 1 to March 1, the exact date varies slightly year to year) can be deducted on either that year's tax return or the prior year's return, at your choice. This is why RRSP contribution deadlines are widely advertised each February/March — it's the deadline to have a contribution count toward the prior tax year.

A contribution made any other time of year can only be deducted for the year it was made, or a later year (you are never required to claim a deduction the same year you contribute — you can deposit the money now and claim the deduction in a future, higher-income year).

7. OVER-CONTRIBUTION PENALTY

The CRA allows a lifetime cumulative buffer of $2,000 in RRSP over-contributions without penalty — this buffer exists to absorb small timing errors, not as extra room to use deliberately. It is a one-time, lifetime allowance, not an annual one.

Contributions beyond the $2,000 buffer are subject to a 1% per month penalty tax on the excess amount, for every month the excess remains in the plan. This is why the Tracker's over-contribution warning has four states instead of a simple over/under flag — "OK," "close to your limit," "over but still within the $2,000 buffer," and "genuinely over-contributed" are meaningfully different situations under CRA's actual rule.

If you do over-contribute beyond the buffer, you generally must withdraw the excess as soon as possible and file Form T1-OVP to calculate and remit the penalty tax.

8. QUALIFIED AND NON-QUALIFIED INVESTMENTS

An RRSP can generally hold:

- Cash and GICs
- Canadian and most foreign publicly-traded stocks, ETFs, and mutual funds
- Government and corporate bonds
- Certain mortgages and mortgage-backed securities
- Shares of some small business corporations, under specific conditions

Prohibited or restricted property — holding it can trigger significant penalty taxes — generally includes shares of most private corporations where you (or a non-arm's-length person) hold a significant interest, most real estate held directly, most commodities/precious metals not held through an exchange-traded product, and personal-use property. When in doubt, confirm with your brokerage before attempting to hold anything unusual inside an RRSP.

9. WITHDRAWALS AND WITHHOLDING TAX

This is the single biggest difference from a TFSA: RRSP withdrawals are fully taxable as ordinary income in the year withdrawn, and your financial institution must withhold tax at source and remit it to the CRA on your behalf. The amount withheld is a prepayment toward your eventual tax bill, not the final tax owed — your actual tax depends on your total income for the year.

Withholding tax rates (outside Quebec)

Withdrawal amount	Withholding rate
Up to $5,000	10%
$5,001 – $15,000	20%
Over $15,000	30%

Quebec residents face a separate, lower federal rate plus provincial withholding on top, for a similar total. Withdrawals do not get added back to your contribution room — once taken out (outside the HBP/LLP programs below), that room is gone for good.

10. THE HOME BUYERS' PLAN (HBP)

The HBP lets a first-time home buyer (or someone who hasn't owned a home they lived in during the preceding four years) withdraw up to $60,000 from their RRSP, tax-free, to buy or build a qualifying home — provided the funds have been in the RRSP for at least 90 days before withdrawal.

Repayments are spread over 15 years, normally starting in the second calendar year after the withdrawal. A temporary relief measure currently pushes the start of repayment to the fifth year after withdrawal for HBP withdrawals made between 2022 and 2028 — confirm the exact repayment start year for your specific withdrawal on canada.ca, since this has changed more than once in recent federal budgets.

Each year's required repayment amount (1/15th of the total withdrawn) is added back to your RRSP contribution room as a repayment, not a new deduction. Any amount you don't repay in a given year is instead added to your taxable income for that year.

11. THE LIFELONG LEARNING PLAN (LLP)

The LLP lets you withdraw up to $10,000 per calendar year, and up to $20,000 total per participation period, tax-free, to finance full-time training or education for yourself or your spouse/common-law partner at a qualifying educational institution. The withdrawal is not limited to your actual tuition or education costs.

Repayments are generally spread over 10 years. You can keep withdrawing under the same participation period until the earlier of the start of your repayment period, or January of the fourth year after your first LLP withdrawal. As with the HBP, an unpaid required installment in a given year is added to your income for that year instead.

Locked-in RRSPs, PRPPs, and SPPs cannot be used for either the HBP or the LLP.

12. SPOUSAL RRSPS AND THE ATTRIBUTION RULE

A spousal RRSP is registered in your spouse or common-law partner's name, but you contribute to it and claim the deduction against your own income — the contribution uses your RRSP room, not theirs. This is a common income-splitting strategy when one partner expects a much higher retirement income than the other.

The attribution rule: if the receiving spouse withdraws from any spousal RRSP within the contribution year or the two calendar years immediately following a contribution, the withdrawn amount (up to the contributed amount) is taxed back in the contributing spouse's hands, not the receiving spouse's — the opposite of the intended income split. Withdrawals made outside that three-year window are taxed normally, in the receiving spouse's hands.

Exceptions to attribution generally include withdrawals in the year of a marriage breakdown, death of either spouse, or either spouse becoming a non-resident — confirm your specific situation with a tax professional.

13. MULTIPLE RRSPS AT DIFFERENT BROKERAGES

You can hold RRSP accounts at as many financial institutions as you like — there's no limit on the number of accounts. Your RRSP Deduction Limit is a single number that applies across every account you hold; the CRA does not track room separately per institution, and neither should you.

This is the exact problem the Tracker is built to solve: each brokerage's statement only shows what you've contributed there, so without a combined view it's easy to lose track of your real total contributed-to-date against your one shared Total Available Room.

14. TRANSFERS BETWEEN RRSPS

A direct institution-to-institution transfer between RRSPs (for example, consolidating accounts, or moving an account to a new brokerage) is not a withdrawal and is not taxable, provided it's done as a direct transfer using CRA Form T2033 rather than withdrawing the cash yourself and re-depositing it. A direct transfer does not use any of your contribution room and does not generate a new deduction — it simply moves existing holdings.

If you instead withdraw the cash and later re-contribute it yourself, the withdrawal is fully taxable and withholding tax applies as in Section 9, and the re-contribution uses fresh contribution room (if you have any) rather than restoring what was withdrawn.

15. MATURITY — CONVERTING TO A RRIF AT 71

An RRSP cannot be held indefinitely. By December 31 of the year you turn 71, you must either convert it to a Registered Retirement Income Fund (RRIF), purchase an eligible annuity, or withdraw the full balance as a lump sum (the lump sum is fully taxable in that year, so this is rarely the best choice). Most Canadians convert to a RRIF.

Once converted, a RRIF requires a minimum mandatory withdrawal each year, calculated as a percentage of the account's value that increases with age. RRIF withdrawals are taxable income in the year received, same as RRSP withdrawals. No further contributions can be made to a RRIF.

The Tracker calculates your RRIF Conversion Year automatically from your birth year (Birth Year + 71) on the Settings & Goals tab, as a planning reference.

16. DEATH OF THE RRSP ANNUITANT

When the RRSP holder (the "annuitant") dies, the fair market value of the RRSP is generally included in their income on their final tax return and taxed in full — unless the account rolls over tax-free to a surviving spouse/common-law partner, or to a financially dependent child or grandchild, as a "refund of premiums" designation.

Naming a spouse as the designated beneficiary (or successor annuitant, where the institution offers it) is the simplest way to achieve a tax-free rollover without probate delay. This is an area where proper beneficiary designation matters significantly — review yours periodically, especially after a marriage, divorce, or new child.

17. MARRIAGE BREAKDOWN

RRSP assets can be transferred between former spouses or common-law partners on a tax-free basis following a breakdown of the relationship, provided the transfer is made under a written separation agreement or a court order/decree relating to a division of property. As with any direct transfer, it does not use the receiving spouse's contribution room and is not taxable to either party.

18. NON-RESIDENTS AND RRSPS

You can continue to hold an existing RRSP after becoming a non-resident of Canada, but you cannot generate new Canadian RRSP contribution room without Canadian earned income reported on a Canadian tax return. Withdrawals made as a non-resident are generally subject to a flat 25% non-resident withholding tax (rather than the graduated rates in Section 9), though this may be reduced under a tax treaty between Canada and your country of residence for certain types of payments.

Non-resident tax rules are highly fact-specific — confirm your situation with a cross-border tax professional before withdrawing or continuing to contribute.

19. FOREIGN DIVIDENDS AND THE US WITHHOLDING TAX EXEMPTION

Dividends paid by foreign corporations are normally subject to that country's non-resident withholding tax before you ever receive them. Under the Canada–US tax treaty, however, US-source dividends paid into an RRSP (or RRIF) are specifically exempt from the 15% US withholding tax that would otherwise apply — an exemption that does NOT extend to a TFSA, which the IRS does not recognize as a retirement account for treaty purposes.

This is why the Tracker's Dividend Tracker tab estimates how much US withholding tax you're saving by holding US dividend-paying stocks inside your RRSP specifically, rather than a TFSA or a taxable account.

Dividends from other foreign countries may still face that country's withholding tax inside an RRSP, depending on Canada's tax treaty (if any) with that specific country.

20. COMMON MISTAKES AND HOW TO AVOID THEM

- Using 18% of income as your room instead of your actual CRA Notice of Assessment number — the NOA already accounts for pension adjustments and carry-forward and is always correct; a manual estimate can be wrong.
- Assuming withdrawn room comes back — unlike a TFSA, ordinary RRSP withdrawals permanently use up that contribution room; only direct transfers and HBP/LLP repayments restore it.
- Forgetting the $2,000 over-contribution buffer is a lifetime allowance, not an annual one.
- Missing the first-60-days deadline for a contribution meant to be deducted against the prior tax year.
- Withdrawing from a spousal RRSP within the 3-year attribution window, defeating the point of income splitting.
- Holding prohibited investments (most private company shares, direct real estate) without confirming eligibility first.
- Not knowing the mandatory RRIF conversion deadline at age 71 and ending up with an unplanned lump-sum withdrawal.
- Not updating contribution room each year from the new Notice of Assessment after filing taxes.

21. SOURCES AND FURTHER READING

This document summarizes information published by the Canada Revenue Agency. For the authoritative, current version of any rule described here, see:

- canada.ca — RRSPs and related plans (search "RRSP" on canada.ca)
- canada.ca — The Home Buyers' Plan
- canada.ca — The Lifelong Learning Plan
- canada.ca — RRSP contribution and deduction limits
- Your own CRA My Account, for your personal RRSP Deduction Limit and HBP/LLP repayment schedule

Need help? Message the shop on Etsy — reply within 1–2 business days. Visit us at maplesheetco.etsy.com.

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